

Sandisk Corp (SNDK.O)

SNDK Trading Down on Earthquake News, Though Interruptions Should Exacerbate Shortages and Push Prices Higher. Maintain Buy

CITI'S TAKE

A strong earthquake struck Japan's southern Hokkaido region late on the 8th (Japan time), including Iwate Prefecture where Sandisk's Kitakami 1 and 2 fabs are located, and seismic intensity reached level 4 of 7. While news from the company remains forthcoming, after significant earthquakes we note tools typically shut down and then begin a restart process. It takes a period of time to determine if net production will be affected, and the company remains in the process of evaluating. We expect NAND supply to tighten further assuming production interruptions, pushing prices higher. We remain Buy rated on SNDK shares.

Buy

Short-Term View: Upside, expires 05-FEB-26

Price (08 Dec 25 16:00)	US\$225.47
Target price	US\$280.00
Expected share price return	24.2%
Expected dividend yield	0.0%
Expected total return	24.2%
Market Cap	US\$33,043M

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Sandisk Corp

Valuation

Sandisk's peer set trades at (FactSet) median 3.1x EV/sales, 3.8x P/BV, and 11.5x P/E vs Sandisk at 3.2x, 3.2x, and 21.7x, respectively. Our target price for SNDK is \$280, where we value shares at 11x FY27 EPS, inline with that of its closest competitor, Kioxia, as well as the larger peer group at 11.5x P/E. We note most peers have DRAM exposure while SNDK does not. However, Kioxia similarly does not have DRAM exposure and trades at 11.5x P/E. That said, we note Sandisk additionally has an estimated \$15-20B in invested capital (replacement cost) within the JV that is not reflected in the company's financials, where the Sandisk P/BV of 3.2x falls below its peer median of 3.8x and that of Kioxia at 6.4x, leaving room for upside.

Risks

Downside risks that could impede SNDK share price from reaching our target price include: 1) Sandisk's efforts to increase its share in the Enterprise taking longer than expected; 2) Macro environment deteriorating and impacting data center spend, PC refresh or AI-PC uptake; 3) Supply/Demand imbalances or pricing competition causing volatile pricing fluctuations and significantly impacting margins.

When considering Citi's Quantative Risk Rating criteria, we do not rate SNDK shares as High Risk given Sandisk was already previously a publicly traded company and was simply spun out of Western Digital rather than as a new IPO. And though it operates in a cyclical industry, Sandisk continues to be a successful, going concern with a reputable brand, IP assets, and an established JV.

Kioxia Holdings

(285A.T; ¥9874.0; 1H; 09 Dec 25; 15:30)

Valuation

We set our target price using a combination of PER and PBR based on our FY3/27 forecasts. We calculate our target price based the weighted average of our PER- and PBR-based fair value estimates. Our PER-based fair value estimate is based on a PER of 11.0x and FY3/27E EPS of ¥1,727 (common equity, before dilution of just under 1%), yielding fair value of ¥19,000 per share. Our PBR-based fair value estimate is based on a PBR of 2.4x and FY3/27E BPS of ¥3,657, yielding fair value of ¥8,800 per share. With a PER/PBR weighting of 3:1, the weighted average of these two figures is ¥16,500, and we set this as our target price. This equates to an FY3/27E PER of 9.5x and a PBR of 4.5x.

Risks

We assign a High Risk rating because we believe share price volatility is likely to remain high given the firm's status as a specialist manufacturer of NAND flash memory, where earnings tend to be volatile, the high ratio of shares held by major shareholders, and the low free float ratio.

Risks to our target price include 1) a deterioration in supply-demand if the US relaxes restrictions on exports of semiconductor production equipment to China, 2) a loosening of supply-demand if companies expand investment, 3) temporary inventory adjustments in the smartphone and data center spaces, and 4) yen strength (we estimate that each ¥1 appreciation erodes OP by c¥6bn).

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Appendix A-1

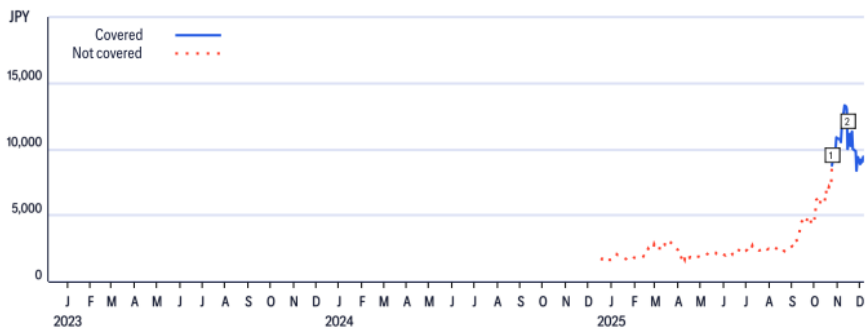
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Kioxia Holdings (285A)
Ratings and Target Price History
Fundamental Research

Analyst: Takero Fujiwara



Date	Rating	Target Price	Closing Price
1 24-Oct-25 02:35:00	*1H	*12,000	8,780

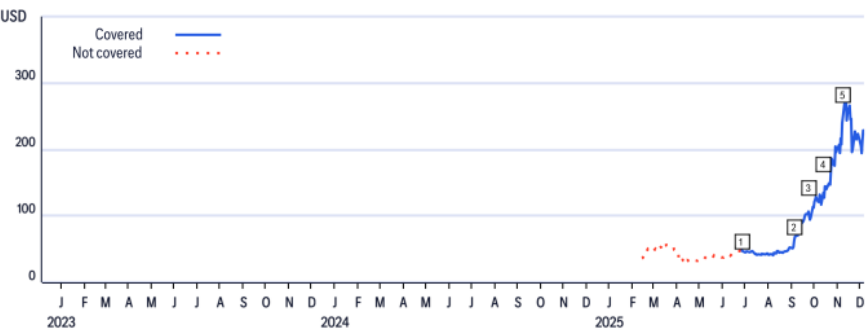
*Indicates Change

Date	Rating	Target Price	Closing Price
2 14-Nov-25 05:31:29	1H	*16,500	10,025

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)
Ratings and Target Price History
Fundamental Research

Analyst: Asiya Merchant, CFA



Date	Rating	Target Price	Closing Price
1 26-Jun-25 04:00:00	*1	*57.00	47.44
2 07-Sep-25 21:24:48	1	*80.00	68.55

*Indicates Change

Date	Rating	Target Price	Closing Price
3 24-Sep-25 04:00:00	1	*125.00	99.83
4 13-Oct-25 00:10:56	1	*150.00	134.61

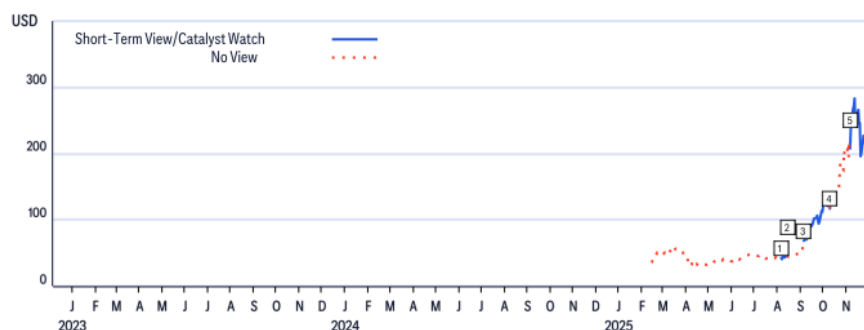
Date	Rating	Target Price	Closing Price
5 07-Nov-25 00:50:25	1	*280.00	239.48

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Aug-25 13:53:54	Add STV	Upside	90 Days	42.10
2	14-Aug-25 22:45:08	Remove STV	Upside	90 Days	46.68

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
3	07-Sep-25 17:24:48	Add STV	Upside	90 Days	68.55
4	12-Oct-25 20:10:56	Remove STV	Upside	90 Days	116.91

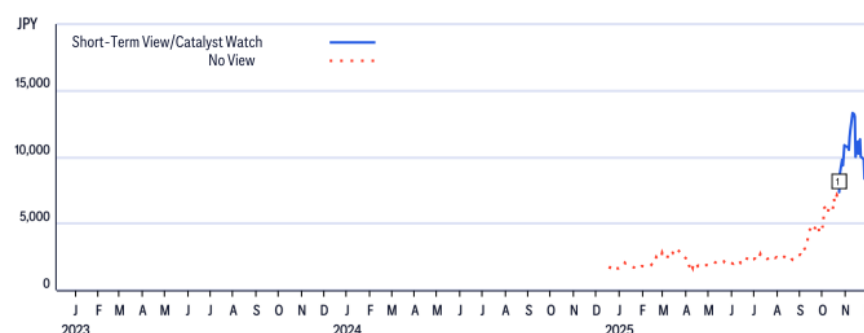
	Date	Action	Expected Direction	Duration	Closing Price
5	06-Nov-25 19:50:25	Add STV	Upside	90 Days	207.69

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Kioxia Holdings (285A)

Short-Term View/Catalyst Watch Research

Analyst: Takero Fujiwara



	Date	Action	Expected Direction	Duration	Closing Price
1	23-Oct-25 22:35:00	Add STV	Upside	90 Days	7,370

CW - Catalyst Watch, STV - Short-Term View

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Data current as of 01 Oct 2025	12 Month Rating			Catalyst Watch		
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